INDUSTRIAL COURT OF MALAYSIA

CASE NO.: 8/4-436/22

BETWEEN

JOHNNY LAU KAH BENG

(CLAIMANT)

AND

PETROLIAM NASIONAL BERHAD

(PETRONAS)

(RESPONDENT)

AWARD NO.: 1891 OF 2025

Before : **Y.A. TUAN MOHD TAUFIK BIN MOHD@MOHD YUSOFF**

Venue : **Industrial Court Malaysia, Sarawak**

Date of order of

Reference : 28.01.2022

Date of receipt of

order of reference : 10.02.2022

Dates of mention :

31.03.2022/06.07.2022/06.10.2022/10.11.2022/07.03.2023/24.08.2023

Dates of hearing : 26.02.2025/27.02.2025/28.02.2025/19.05.2025/

20.05.2025/06.08.2025/07.08.2025

Representation

For Claimant : Ms Jasvir Singh Sandhu of Messrs Sandhu Lee Goh & Co. Advocates, Miri

For Respondent : Mr Nicholas Wung Duk Ying, Ms Anatasia Chin Mengxing of Messrs Wung & Co. Advocates Kuching

AWARD

Reference

This is an order of reference dated 28.01.2022 by the Director General of Industrial Relations Department pursuant to subsection 20(3) of the Industrial Relations Act 1967 arising out of the alleged dismissal of **JOHNNY LAU KAH BENG** (the claimant) by **PETROLIAM NASIONAL BERHAD (PETRONAS)** (the respondent) on 28.12.2020.

Introduction

[1] This is a claim for unlawful dismissal of the claimant against the respondent ("the company") without just cause or excuse.

The documents

[2] The pleadings, documents and witness statements that have been relied on by the parties are as follows:

a) Statement of Case dated 24.05.2022;
b) Statement in Reply dated 08.08.2022;
c) Rejoinder dated 30.12.2024;
d) Amended Statement in Reply dated 22.05.2025;
e) Claimant's Rejoinder dated 30.09.2022;
f) The Company's Bundle of Documents - COB1;
g) The Company's Bundle of Documents (Volume 2) – COB2;
h) The Company's Bundle of Documents (Volume 3) – COB3;
i) The Company's Bundle of Documents (Volume 4) – COB4;
j) The Company's Bundle of Documents (Volume 5) – COB5;
k) The Claimant's Bundle of Documents – CLB1;
l) The Company's Bundle of Documents No. 2 – CLB2;
m) Witness statement of Puan Poh Seng (COWS1);
n) Witness statement of Mariati Binti Mohd Tahir (COWS2);
o) Witness statement of Shahriman Bin Yusri (COWS3); and
p) Witness statement of Johnny Lau Kah Beng (CLWS1).

[3] The company has called the following witnesses:

a) Puan Poh Seng (COW1);
b) Mariati Binti Mohd Tahir (COW2); and
c) Shahriman Bin Yusri (COW3).

[4] The claimant was the sole witness who testified in court to prove his case.

Brief facts of the case

[5] On 03.05.2005, the claimant started his employment with the company as an Executive (Surface Engineer) under the Project Management, Design and Construction Unit.

[6] Via a letter dated 01.03.2006, the company informed him of the confirmation in his employment.

[7] On 10.11.2020, the company issued a letter informing the claimant of a Domestic Inquiry ("the DI") after the company received information and evidence that there existed apparent conflict of interest situation, abuse of position and the act of receiving gratification which is in breach of PETRONAS Shared Values, provisions under Code of Conduct and Business Ethics (CoBE) and Anti-Bribery and Corruption Manual (ABC Manual), as well as the express and implied terms of employment.

[8] The DI was established by the company to provide the claimant with the opportunity to render his explanation before an independent Panel of Inquiry which incorporated three (3) charges.

[9] The company then issued a letter dated 08.12.2020 informing the claimant of amendment made to the previous letter dated 10.11.2020 which incorporated four (4) charges.

[10] The four (4) charges levelled against the claimant are as follows:

Charge 1

"That you, Johnny Lau Kah Beng (S/N: 123476) had on various occasions between January 2016 and December 2018 been paid the following sum(s) of money amounting to RM: 260,000.00 (Ringgit Malaysia Two Hundred Sixty Thousand) or the total of any other amount(s) stated below, from Deleum Primera Sdn Bhd (DPSB), a PETRONAS's registered Contractor, of which the information of such payment(s) was found in DPSB's possession".

NAME	DESCRIPTION	AMOUNT(RM)	DATE
Johny	Baram G	50,000.00	2016
Johny	Johny-Temana	200,000.00	2018
Johny	Johny- trip to KL family	10,000.00	12/01/2017- 16/01/2017
	TOTAL	260,000.00	

The above tantamount to misconduct which is in breach of:

i. Part II: Duties of Good Faith, Fidelity, Diligence and Integrity, Part II B: Fighting Corruption and Unethical Practices; the generality of Section 6, of Conduct of Conduct and Business Ethics (the Code); and/or

ii. Part IV: Discipline, Disciplinary Process and Sanctions, Section 1.3 (xix) of Importance of Good Conduct and Discipline, of the Code; and/or

iii. Part II: Duties of Good Faith, Fidelity, Diligence and Integrity, Part II A: Conflict of Interest: Duty Regarding Avoidance of Conflict of Interest, Section 1.1, of the Code; and/or

iv. Part 1: Core Values and Culture, Section 2.2 of Corporate Values of the Code

v. Part IV: Discipline, Disciplinary Process, Section 1.1 and 1.2 of Importance of Good Conduct and Disciplines, of the Code; and/or

vi. other express and/or implied terms of your employment.

In the event you are found guilty of the said misconduct, you will be liable for punishment as provided under Section 2 of Part IV: Disciplinary Process & Sanctions, Country Supplement: Malaysia of the Code."

Charge 2

"That you, Johnny Lau Kah Beng (S/N: 123476), had between February 2018 and March 2018 received entertainment from DPSB, a PETRONAS' registered Contractor in the form of flight tickets for yourself and/or your spouse, Kong Siew Ling to Santorini, Greece as per the following and/or any of the following, where the details of such information were found in DPSB's possession:-

DATE	DESTINATION	PASSENGES' DETAILS	AIRLINES	FLIGHT NUMBERS	ETICKET NUMBER	SEAT NUMBER/CLASS
7 MARCH 2018	MIRI-KUALA LUMPUR	1)JOHNNY LAU KAH BENG 2)KONG SIEW LING	EMIRATES	EK3417	i)1765619975635 ii)1765619075636	BUSINESS BUSINESS
8 MARCH 2018	KUALA LUMPUR-DUBAI	1)JOHNNY LAU KAH BENG 2)KONG SIEW LING	EMIRATES	EK 343	i)1765619975635 ii)1765619975636	014E/BUSINESS 014F/BUSINESS
8 MARCH 2018	DUBAI-ATHENS	1)JOHNNY LAU KAH BENG 2)KONG SIEW LING	EMIRATES	EK209	i)1765619975635 ii)1765619975636	009A/BUSINESS 009B/BUSINESS
11 MARCH 2018	ATHENS-SANTORINI	1)JOHNNY LAU KAH BENG 2)KONG SIEW LING	AEGEAN AIRLINES	QA352	i)390-2431948523 ii)390-2431948524	1C(EXTRA LEGROOM) 1B(EXTRA LEGROOM)
14 MARCH 2018	SANTORINI-ATHENS	1)JOHNNY LAU KAH BENG 2)KONG SIEW LING	AEGEAN AIRLINES	QA353	i)390-2431948523 ii)390-2431948524	2D(UP FRONT) 2E(UP FRONT)
14 MARCH 2018	ATHENS-LONDON HEATHROW	1)JOHNNY LAU KAH BENG 2)KONG SIEW LING	AEGEAN AIRLINES	AE608	i)1695619953586 ii)1695619953587	002D/BUSINESS 002F/BUSINESS
17-18 MARCH 2018	LONDON HEATHROW-KUALA LUMPUR	1)JOHNNY LAU KAH BENG 2)KONG SIEW LING	MALAYSIA AIRLINES BERHAD	MH1	i)2325619977125 ii)2325619977126	018C/ECONOMY 018B/ECONOMY
18 MARCH	KUALA LUMPUR-MIRI	1)JOHNNY LAU KAH BENG 2)KONG SIEW LING	MALAYSIA AIRLINES BERHAD	MH2598	i)2325619977125 ii)2325619977126	006C/ECONOMY 006B/ECONOMY

The above tantamount to misconduct which is in breach of:

i. Anti-Bribery and Corruption Manual (ABC), Part 2: Gift, Entertainment and Corporate Hospitality, Section 2B (ii): Receiving Entertainment and/or
ii. Part ll: Duties of Good Faith, Fidelity, Diligence and Integrity, Part ll B: Fighting Corruption and Unethical Practices, Section 10, of the Code;
iii. Part ll: Duties of Good Faith, Fidelity, Diligence and Integrity, Part ll A: Conflict of Interest: Duty Regarding Avoidance of Conflict of Interest, Section 1.1, of the Code; and/or
iv. Part 1: Core Values and Culture, the generality of Section 2.2: Corporate Values of the Code; and/or
v. Part lV: Discipline, Disciplinary Process, the generality of Section 1.1 and 1.2: Importance of Good Conduct and Disciplines, of the Code; and/or
vi. other express and/or implied terms of your employment.

In the event you are found guilty of the said misconduct, you will be liable for punishment as provided under Section 2 of Part lV: Disciplinary Process & Sanctions, Country Supplement: Malaysia of the Code."

Charge 3

"That you, Johnny Lau Kah Beng (S/N: 123476), had allowed the international travel insurances for yourself and your spouse, Kong

Siew Ling to be procured and/or arranged and/or paid by DPSB, a PETRONAS' registered Contractor for the travelling coverage period from 7th March 2018 to 18th March 2018, as per the following details, as per a Tax Invoice issued by Mitra Malaysia Sdn Bhd dated 22nd March 2018 and found in DPSB's possession:-

INSURANCE DESCRIPTION	PASSENGERS DETAILS	PLAN	POLICY NUMBER	AMOUNT	COVERAGE PERIOD
TRAVEL INSURANCE-INTERNATIONAL	1)JOHNNY LAU KAH BENG 2)KONG SIEW LING	PREMIER INSURANCE	A2103567752	i) RM244 ii)RM244	7 MARCH 2018-18 MARCH 2018

The above tantamount to misconduct which is in breach of:

i. Part ll: Duties of Good Faith, Fidelity, Diligence and Integrity, Part ll A: Conflict of Interest: Duty Regarding Avoidance of Conflict of Interest, Section 1.1, of the Code; and/or
ii. Part 1: Core Values and Culture, the generality of Section 2.2: Corporate Values, of the Code; and/or
iii. Part lV: Discipline, Disciplinary Process, the generality of Section 1.1 and 1.2: Importance of Good Conduct and Disciplines, of the Code; and/or
iv. other express and/or implied terms of your employment.

In the event you are found guilty of the said misconduct, you will be liable for punishment as provided under Section 2 of Part lV:

Disciplinary Process & Sanctions, Country Supplement: Malaysia of the Code."

Charge 4

"That you, Johnny Lau Kah Beng (S/N: 123476) and your spouse, Kong Siew Ling, had travelled to Santorini, Greece together with Mazrin Bin Ramli, CEO of DPSB, a PETRONAS' registered Contractor, on or about 11th March 2018-14th March 2018, the details of which are found in DPSB's possession:

The above tantamount to misconduct which is in breach of:

i. Part II: Duties of Good Faith, Fidelity, Diligence and Integrity, Part II A: Conflict of Interest: Duty Regarding Avoidance of Conflict of Interest, Section 1.1, of the Code; and/or
ii. Part 1: Core Values and Culture, the generality of Section 2.2: Corporate Values, of the Code; and/or
iii. Part IV: Discipline, Disciplinary Process, the generality of Section 1.1 and 1.2: Importance of Good Conduct and Disciplines, of the Code; and/or
iv. other express and/or implied terms of your employment.

[11] Upon completion of the DI, the claimant was found guilty of all the charges levelled against him and was dismissed with immediate effect. The claimant was also informed that there is venue for appeal against the decision.

[12] Via a letter dated 27.01.2021, the claimant filed his appeal.

[13] Via a letter dated 23.03.2021, the company informed the claimant that the appeal was dismissed, and the decision of the dismissal was final.

[14] The claimant last drawn salary is RM21, 155.00 and plus East Malaysia Allowance (Exec) in the sum of RM2, 116.00.

Roles and functions of the court

[15] It is a trite law that the role of the court is two-fold. Firstly, to determine whether the misconduct complained of by the employer has been established, and secondly whether the proven misconduct constitutes just cause or excuse for the dismissal: see *Wong Chee Hong v. Cathay Organisation Malaysia Sdn Bhd* [1988] 1 CLJ Rep 298; *Milan Auto Sdn Bhd v. Wong Seh Yen* [1995] 4 CLJ 449; *K A Sanduran Nehru Ratnam v. I-Berhad* [2007] 1 CLJ 347.

[16] The burden of proof lies with the employer in proving that he has just cause or excuse for making the decision and not for the employee to prove otherwise: see *Ireka Construction Berhad v Chantiravathan Subramaniam James* [1995] 2 ILR 11 (Award No. 245 of 1995). The employer must prove the employee guilty, by producing convincing evidence that the employee committed the offence or offences the employee is alleged to have committed for which he has been dismissed, and it is not the employee who must prove himself not guilty

(see *Stamford Executive Centre v. Dharsini Ganesan* [1986] 1 ILR 101 (Award No. 263 of 1985).

[17] As regards the standard of proof to prove the case is on a balance of probabilities that is the civil standard, as decided by the Court of Appeal in the case of *Menara Panglobal Sdn Bhd v Arokianathan Sivapiragasan* [2006] 2 CLJ 501 and *Telekom Malaysia Kawasan Utara v. Krishnan Kutty Sanguni Nair & Anor* [2002] 3 CLJ 314.

[18] The test that is applied to a direct dismissal like this case is a "reasonable test". Reasonable test has been expounded by Salleh Abas FCJ (as His Lordship then was) in the case of *Preston Corp Sdn Bhd v. Edward Leong Nim Fay & Ors* [1982] CLJ 302; [1982] CLJ (Rep) 272; [1982] 2 MLJ 22 as below:

> *"The test of reasonableness is what a reasonable, honest and right-minded person considers the usage concerned to be fair and proper. A usage which outrages the sense of justice and commonsense is not reasonable: Produce Broker Co. Ltd v. Olympia Oil and Cake Co. Ltd. The test therefore is one which refers to the normal and ordinary value judgment of a reasonable man."*

[19] In the recent Federal Court's decision, in the case of *Tan Lay Peng v. RHB Bank Bhd & Anor* [2024] 2 ILR 535, Nordin Hasan FCJ in delivering the judgment of the Court, held:

"On the issue of reasonableness, generally, what is reasonable is what a reasonable man considers fair and proper based on the particular facts and circumstances of the case."

[20] The court must also satisfy that the company has come up with good and convincing proof as required by law pronounced in *Federal Aluminium Sdn Bhd, Prai v. Kochunni A/L Kuttan Nair, Penang* [1986] 1 ILR 656, to prove misconduct, where the court held:

"It must be realised that in dismissal cases this Court must insist on good and convincing proof of the charge against the workman. This is an absolute prerequisite for the Court to uphold a dismissal if the protection given to workmen by S. 20 of the Industrial Relations Act, 1967 of security of tenure in their jobs against unjustified dismissals is not to be negated. This principle is so basic that ignorance of it can be excuse at all."

Employer and employee's relationship

[21] It is a trite law that the relationship between the employer and the employee is fiduciary in nature. Any breach of fiduciary duty will be an act of mala fide. The court wishes to refer to the case of *Azahari Shahrom & Anor v. Associated Pan Malaysia Cement Sdn Bhd* [2010] 1 ILR 423, where it was held, as follows:

"It is trite that the association between employer and employee out of necessity is fiduciary in nature. There has to be mutual trust and confidence that one would deal with the other in all fairness and rectitude over the rights and obligations flowing between the parties under the employment agreement. If one does an act or commits an omission which is inconsistent with that fiduciary relationship then that act or omission will be mala fides. This principle has equal application as against the employer and the employee in their respective positions viz the employment relationship between them." (emphasis added)

[22] It must be remembered that the established principle in industrial jurisprudence is that in every employment contract there is an implied term that a party thereto will not without reasonable cause conduct himself in a manner likely to damage or destroy the relationship of trust and confidence between the parties, as employer and employee: see *Tian San Sdn Bhd v. Lin Kim Ping* [1997] 3 ILR 483 (Award No. 483 of 1997).

[23] The claimant is also required, as an employee, to act faithfully and in accordance with the interest of his employer, as held in the case of *Cellular Communications Network (M) Sdn Bhd v. Ilhami Mohamad* [2001] 1 ILR 233 (Award No. 29 of 2001).

The court's findings

[24] The question to be answered by the court is whether the company was with just cause or excuse while dismissing the claimant.

Non-calling of maker of document

[25] Learned counsel for the claimant, at the very commencement of the trial, prior to the marking of the bundle of documents, raised objection to the company's documents at pages 13 and 14, 15 to 25, 26 to 33 and 125 to 192 of COB3 since the maker of the documents were not called and the admissibility of those documents are being directly challenged. The court upon hearing the parties ruled that the documents were to be marked and admitted, whereby, the weight to be decided later.

[26] Generally, failure to call the maker of the document would render documentary evidence to be hearsay.

[27] Learned counsel for the claimant also cited the Federal Court's case of *Leong Hoong Khie v PP & Another Case* [1986] CLJ Rep 179, whereby the apex court held that the general rule is that hearsay evidence is not admissible as proof of fact which has been stated by a third party who cannot be cross-examined and the danger that the evidence may be concocted, fabricated and tailored to suit the witness's testimony. The learned counsel also quoted:

a. *Grace Yong Yee Fui & Anor v. Hock Sheng Resources Sdn Bhd* [2025] 3 ILR 579;

b. *Josita Ket Kang En@Karlen v Golden Horse Palace Berhad* [2025] ILRU 0300;

c. *Chong Chee Meng v. Multiple Pipeline Services Sdn Bhd* [2025] 2 ILR 563; and

d. *Abdul Hadee Ahmad v Tenaga National Berhad* [2025] ILRU 0891,

to show that the Industrial Courts applied the principle propounded in *Leong Hoong Khie, supra*.

[28] Learned counsel for the claimant has also cited a recent decision by the Industrial Court in Sabah in the case of *Kendy Lim Fang Vui v Sazarice Sdn Bhd* [2024] 3 ILR 121, where the Learned Chairman held that the evidence produced by COW2 was hearsay in respect to the second charge since the person who allegedly told COW2 that the claimant had never visited the Speed Mart was not called as a witness.

[29] Learned counsel for the claimant has also distinguished the decision of *Mohd Azreen Bin Abd Manap v Petroleum Nasional Berhad* [2025] ILRU 0872, where the Learned Chairman had allowed the admissibility of the interview transcript since the counsel had failed to object to the document prior to the marking and the document was taken by Alex

Tan who was called to testify by the company. The court in *Mohd Azreen, supra,* emphasised that the court has the obligation to act in equity and good conscience without strict compliances to legalities and technical form pursuant to s. 30(5) of the Industrial Relations Act 1967 ("IRA").

General rule to call the maker of document

[30] The question that the court is facing now is a crucial issue as to the admissibility of evidence where the maker or the creator of the document was not called to testify to the accuracy of the document.

[31] Under the IRA, the parties will usually quote s. 30(5) in attempting to relax the strict application as stated in the Evidence Act 1950, and, in our case, on the issue of hearsay evidence.

[32] Before we proceed further, it is imperative for the court to highlight what the position of law is on how to tender a document properly during the trial. To answer this, the court wishes to refer to the latest Federal Court's decision in *Live Capital Sdn Bhd v. Pioneer Conglomerate Sdn Bhd* [2025] 6 CLJ 855, where Abdul Rahman Sebli CJSS held:

> [31] What the Court of Appeal set as precedent, a dangerous one we would say, is that the authenticity and contents of disputed documents, ie, Part C documents need not be verified by the maker of the documents before they can be admitted in evidence and that all that is

required of the party seeking to rely on such documents is to have them marked as exhibits, and once that is done, the contents of the documents are deemed to be the truth. [32] With due respect to the learned judges of the Court of Appeal, the procedure they adopted is unknown to law. Unless the authenticity of the two vouchers had been verified by calling the maker or makers of the documents, the contents of the documents remained hearsay as the purpose of producing them was to prove the truth of the contents and not merely to prove that the notation and alterations were made (Subramaniam v. PP [1956] CLJU 115; [1956] 1 LNS 115; [1956] 1 MLJ 220). Clearly, the respondent had no other purpose in producing P1 and P2 as exhibits other than to prove that the RM7 million was an advance and not a commission. They were therefore caught by the rule against hearsay." (emphasis added)

[33] What if the document has been tendered and marked like in our case? The answer can also be found in *Live Capital Sdn Bhd*, *supra,* where it was held:

> **"[33]** A document cannot be admitted in evidence and marked as such until it has been properly proved: See the judgment of Shankar J (as he then was) in *Chong Khee Sang v. Phang Ah Chee [1983] CLJU 57; [1983] 1 LNS 57;* [1984] 1 MLJ 377. Such a document has no evidential

value, is irrelevant and should not be admitted in evidence and if admitted must be disregarded." (emphasis added)

Effect of s. 30(5) of IRA

[34] Now, what is the effect of s. 30 (5) on the decision of the court? S. 30 (5) provides:

> (5) The Court shall act according to equity, good conscience and the substantial merits of the case without regard to technicalities and legal form.

[35] Before we proceed further, it cannot escape the court's attention to state in this Award that IRA is a social legislation enacted by the Parliament to ensure that a workman's right to earn a livelihood is not truncated arbitrarily at the will of the employer (see *Maritime Intelligence Sdn Bhd v Tan Ah Gek,* [2021] 10 CLJ 663) and the duty of the court is to protect the weaker party in social legislation (see *PJD Regency Sdn Bhd v Tribunal Tuntutan Pembeli Rumah & Anor and Other Appeals* [2021] 2 CLJ 441).

[36] In discussing the issue, it is worthwhile referring to the case of *Plastic Centre Sdn. Bhd. v. Kesatuan Pekerja-Pekerja Kimia Malaya,* [1990] 1 ILR 9A*,* where the court held:

> "While provocation is a factor available as a defence within well defined limits in law, the Industrial Relations Act

1967, s.30(5) of the Act emboldens this Court to act according to equity and good conscience and without regard to legal form. It means that in considering whether the employer acted reasonably or unreasonably, the tribunal should adopt a broad approach of common sense and common fairness, eschewing all legal or other technicality. (Sir John Donaldson in Carl v. Slater & Wheeler (Airlyne) Ltd. ICB, 508 [1973] 1 AER 145.)" (emphasis added)

[37] It must be remembered that Industrial Court is acting and deciding its case based on social justice. In the IRA, s. 30(5) is a concept of social justice. In *Jurutera Konsultant (SEA) Sdn. Bhd. v. Yeo Soon Chuan,* [1991] 2 ILR 825, the court described social justice as "something more than legal justice in the country. It seeks to unshackle the technicalities of the common law in dealing with industrial disputes. Social justice and legal justice are two different concepts though their common object is to do justice. Nevertheless the methods adopted by social justice are unorthodox. It metes out justice according to the conscience of society according to what is fair and equitable." (emphasis added)

[38] The Learned Chairman in the case of *Harris Solid State (M) Sdn. Bhd., Harris Advanced Technology (M) Sdn. Bhd., Har- Ris Semiconductor (M) Sdn. Bhd. v. Bruno Gentil S/O Pereira & 18 Ors., Kesatuan Pekerja-Pekerja Harris Solid State (M) Sdn. Bhd.* [1992] 2 ILR 316 held:

“The learned counsel for the companies was at pain in his presentation to the Court, to dress up a paraphernalia of technicalities and legalities, though impressive it may be, which is groundless. The case must not be entrammelled with technicalities and legalities. It is a settled principle that the primary goal in settling an industrial dispute in this Court is social justice, vide, obiter dictum of Raja Azlan Shah CJ (as he then was) in Non-Metallic Products Manufacturing Employees' Union & Ors. v. South East Asia Firebricks Sdn. Bhd. [1976] 2 MLJ, and Changla CJ in Parakash Confectionery Mills Ltd. v. State of Bombay [1957] 1 LLJ. This is reinforced by the spirit and intendment of the Industrial Relations Act 1967, s. 30(5) which states that;

The Court shall act according to equity, good conscience and substantial merits of the case without regard to technicalities and legal form.

One wonders why should a sinuous web of technicalities be wound around the issue, and thereby one lost the wood for the trees. Mindful of the fact that this is a Court of equity and good conscience, the approach much be as realistic as possible. A ruling to the contrary would be illusory, unrealistic and astigmatic.” (emphasis added)

[39] In the case of *Amran Mahmud v. Syarikat Sesco Berhad,* [2025] 4 ILR 17, this court held:

> "[81] The court in hearing this case "should not be burdened with the technicalities regarding the standard of proof, the rules of evidence and procedure that are applied in a court of law. The Industrial Court should be allowed to conduct its proceedings as a "court of arbitration", and be more flexible in arriving at its decision, so long as it gives special regard to substantial merits and decide a case in accordance with equity and good conscience." – see Telekom Malaysia Kawasan Utara v. Krishnan Kutty Sanguni Nair & Anor [2002] 3 CLJ 314."

[40] Social justice is a "Justice that conforms to a moral principle…" (see *Kesatuan Pekerja-pekerja Bank Pertanian Malaysia Berhad Sarawak v. Bank Pertanian Malaysia Berhad* [2025] 3 ILR 523.

[41] Hence, it is the considered view of the court, upon reading the above authorities, that the bounden duty of the court is to balance the duty to call the maker to tender the document according to the requirement in the case of *Live Capital Sdn Bhd, supra,* and the duty assigned to it under s. 30(5) to ensure social justice be properly observed without binding itself to technicalities and legal form, not only to ensure justice to the claimant but also to the company.

[42] Therefore, it is the considered view of the court, to act as realistic as possible and in adopting a broad approach of common sense and common fairness and moral principle, the sacred duty of the court is to make sure that element of technicalities or legal form ("the element") must be avoided, as far as possible, and, the element, if observed is really necessary due to the substantial prejudice or substantial miscarriage of justice that befell the claimant before the decision was made to dismiss him.

The challenged and objected documents

[43] In our case, the documents on pages 13-14, 15-25 and 26-33 of COB3 are statements by Srithar Sriramulu, Alex Tan and Travis Wong respectively who were the witnesses giving evidence in the DI. Whereas the document on pages 125-192 of COB3 is an interview transcript based on audio recording of a person named Mazrin Ramli ("Mazrin"), the CEO of Deleum Primera .

[44] During the trial before this court, COW2 testified that she was the chairperson of the DI held against the claimant. The members of the DI, including COW2, were three (3) people.

[45] COW2 in her evidence highlighted the court that the documents on pages 13-14, 15-25 and 26-33 of COB3 were tendered as part of the exhibit during the DI. This is her evidence during the examination in chief:

Q: Please refer to pages 1 to 390 of the Company's Bundle of Documents (Volume 3) and pages 1 to 266 of the Company's Bundle of Documents (Volume 4). What are these documents?

A: These are the exhibits produced by the Company's presenting officer during the course of the Domestic Inquiry. The exhibits are marked as "Exhibit CE-A" to "Exhibit CE-G" and "Exhibit CE-1" to "Exhibit CE-26".

[46] Whereby, the document on pages 125 – 192 was also made part of the evidence during the hearing in the DI. It was tendered through Alex Tan during the DI.

[47] These documents were tendered and marked during the DI, as follows:

a. The document on pages 13-14 of COB3 marked as CE-D.
b. The document on pages 15-25 of COB3 marked as CE-E.
c. The document on pages 26-33 of COB3 marked as CE-F.
d. The document on pages 125-192 of COB3 marked as CE-12.

[48] It is the considered view of the court, since these documents were tendered during the DI and became part of the evidence in the DI, therefore, they are relevant documents which formed part of the proceeding in the DI.

[49] Regarding the procedure to be adopted during a domestic inquiry to show that the rule of natural justice has been properly observed, it is worthwhile for the court to refer to a decision by Mohd Eusoff b Chin J (as he then was) in the case of *Nadarajah & Anor. v. Golf Resort (M) Sdn. Bhd.* [1991] 1 ILR, where His Lordship held:

> *"*What is required of the Industrial Court to do is that it must observe the rules of natural justice in the conduct of inquiries before it, some of which are.
>
> (a) that a party should have due notice of the proceeding:
>
> (b) that he should have the opportunity of adducing all relevant evidence on which he relies;
>
> (c) that the evidence of the opposite side should be taken in his presence;
>
> (d) that he should be given the opportunity of cross-examining the witnesses examined by the opposite party, and
>
> (e) that no material should be relied on against him without his having been given an opportunity of explaining the same.

[50] The court was also referred to the case of *Sony Electronics (M) Sdn Bhd v. Philip Vincent Rodrigues* [2007] ILRU 2058, where the court held: “It is well settled that in a domestic enquiry the strict and sophisticated rules of evidence under the Evidence Act 1950 may not apply. All materials which are logically probative for a prudent mind are permissible. There is no allergy to hearsay evidence provided it has reasonable nexus and credibility.”

[51] It is the considered view of the court that the documents that were challenged and objected to by the claimant are relevant to the issue at hand, as proceeding in the DI together with the exhibits tendered therein became the consideration that led to the forming of reason for the dismissal. This has complied with the principle of law described by the Federal Court in *Maritime Intelligence Sdn Bhd, supra*, which held that the reason to dismiss must resonate in the employer's mind, prior to, or preceding the decision to dismiss. And based on the cases of *Nadarajah, supra* and *Sony Electronics (M) Sdn Bhd, supra,* the court finds that the rules of natural justice were not faulted in the proceeding.

[52] To show that natural justice had been accorded to the claimant during the DI, the claimant was also not stopped from calling his own witness and in fact he decided not to call any witness, and this can be seen on page 166 of COB2:

> Chairman :
>
> Okay, alright. Johnny you have one witness like you mentioned earlier?

Accused Employee:

Has my wife lah.

Chairman :

Okay, alright

Accused Employee:

I think, I think we already explained this lah.

Chairman :

Ya

Accused Employee:

I don't think needed lah.

[53] There was also no evidence to suggest during the DI that the claimant was stopped or halted by the DI from referring to the documentary evidence for the purpose of cross-examination to any of the company's witnesses or to ask more time from the DI to peruse the documentary evidence relied on by the company against him.

[54] Having found that the rules of natural justice have not been faulted during the DI – as the claimant was present and was given opportunity to cross-examine the witnesses – the next duty of the court is to consider the evidence or statements adduced at the DI. This duty has been stated by the High Court in the case of *Metroplex Administration*

Sdn Bhd v. Mohamed Elias [1998] 5 CLJ 467, a case helpfully cited by the learned counsel for the company. This is what the High Court held:

> "…, I am of the view that the learned chairman has failed to consider or failed to consider adequately the evidence or statements adduced at the board of domestic inquiry and the finding of the board of domestic inquiry."

[55] The court at the same time while preparing this Award is duty bound to examine the notes of proceeding prepared during the DI, as the document was tendered through the chairperson of the DI, COW2, is relevant and will be accepted as evidence. As the notes of proceeding in the DI were tendered through one of its members, the court will accept them as evidence in this court. In the case of *Alam Arena Management Sdn. Bhd. v. Alex Veeramuthu* [2006] 1 ILR 485, the court held:

> "If the notes had been properly produced by any of the Panel Members, the court would have accepted them as evidence."

[56] The court is also bound to consider the evidence of the witnesses during the DI. To this, the court wishes to refer to the judgment of Raus Sharif J (as His Lordship then was) in the case of *Bumiputra Commerce Bank Bhd v. Mahkamah Perusahaan Malaysia & Anor* [2004] 7 CLJ 77 where His Lordship held:

> I am of the view in coming to the said conclusion, the Industrial Court had failed to take into consideration the evidence of the second respondent himself at the domestic inquiry, bearing in mind the notes of inquiry had been accepted by court as an exhibit.

[57] Be that as it may, the court is mindful the duty of the court is to investigate the whole of the evidence presented before the court. The court is not bound to merely rely on the notes of proceeding before the DI, before coming to its decision. The court finds guidance from the Court of Appeal's decision in the case of *Multimedia Development Corporation Sdn Bhd v. Clarence Augustine Tee Teck Huo,* [2018] 2 ILR 401 where Hasnah Mohammed Hashim JCA (as Her Ladyship then was) held:

> **"[31]** The factual matrix in *Plaintree Wood Products Sdn Bhd v. Mahkamah Perusahaan Malaysia* is different from *Bumiputra Commerce*. His Lordship, Raus J (as he then was) explained in his written judgment that the issues decided in *Plaintree Wood Product* 's case can be distinguished from that of *Bumiputra Commerce* 's:
>
> > Dengan hormatnya saya berpendapat perkara yang diputuskan di dalam kes tersebut adalah berbeza dengan kes pemohon ini. Di dalam kes *Bumiputra Commerce Sdn. Bhd*., apa yang saya putuskan adalah mengenai kegagalan

Mahkamah Perusahaan untuk mengambilkira nota keterangan domestic inquiry yang telah dikemukakan sebagai keterangan. Mahkamah Perusahaan di dalam kes itu tidak langsung merujuk kepada nota keterangan domestic inquiry dalam membuat penilaian fakta dan kegagalan itu telah saya putuskan sebagai suatu kesilapan undang-undang. Di dalam kes pemohon ini, keadaan adalah berbeza. Kes pemohon di Mahkamah Perusahaan adalah masih diperingkat pembicaraan. Pada saya, responden kedua adalah bebas untuk membentangkan kesnya ini dan untuk menyokong dakwaan bahawa beliau telah dibuang kerja tanpa alasan yang munasabah. Di pihak pemohon pula, jika terdapat keterangan mengenai domestic inquiry, terpulanglah kepada pemohon untuk mengemukakannya. Tugas Mahkamah Perusahaan ialah untuk membuat keputusan berpandukan keseluruhan keterangan yang dikemukakan melalui keterangan-keterangan saksi yang dikemukakan oleh kedua-dua pihak. Sudah tentu Mahkamah Perusahaan tidak semata-mata terikat kepada nota prosiding di dalam domestic inquiry. Jadi Mahkamah Perusahaan adalah tidak silap

> untuk mengarahkan pembicaraan penuh dijalankan di dalam kes ini. (emphasis added)

[58] Therefore, based on the spirit of the IRA, the court finds that the challenged and objected documents are relevant, admissible and should be considered by the court to arrive at its fair and right decision. The question of weight to be attached to these documents is different, which the court is readily undertaking in preparing this Award.

The established evidence in the court

[59] The company has established the evidence as follows:

a. The claimant confirmed during his employment with the company, he was based in Miri.

b. From 1.10.2017 until the dismissal, the claimant held a position as Manager, under Construction, Sarawak – Oil with Petronas Carigali Sdn Bhd.

c. Based on COB3, page 153, lines 8 to 19, the claimant agreed when Mazrin mentioned 'Johnny' and the position as the head of construction the statements are consistent with his position in Petronas.

d. The claimant admitted that working with the company he is bound to follow the CoBE and ABC Manual.

e. The claimant knows Mazrin as a registered contractor of Petronas, who won the award for the Sponge Jet Contract of which the claimant was the end user.

f. The claimant knows Mazrin through one of his colleagues, Mohd Azreen bin Abd Manap who was also dismissed for similar offences like the claimant.

g. The claimant agreed that the company requires him to make a declaration, if he travels with a contractor, so that the company can assess whether there is a conflict of interest and whether to clear it or to prohibit it.

h. During the DI, the claimant agreed that Mazrin had paid for the flight tickets and the claimant had handed the passport to him to arrange for the flight tickets and physically passed the tickets to him.

i. The claimant also stated in the DI that the trip to Santorini was called a family trip and he went there with his wife, Mohd Azreen and his wife.

j. The claimant agreed that the trip began on 07.03.2018 as per the flight from Miri and ended on 18.03.2018 as per the flight back to Miri. The flight tickets can be seen on pages 3-11of COB4.

Breach of the company's COBE and ABC Manual

[60] It is submitted by the learned counsel for the company that the claimant had breached clauses 1.1. and 1.3 of CoBE and clause 10 of CoBE and section 2B(ii) of the ABC Manual.

[61] The claimant agreed that the company has stated four (4) corporate core values, and two (2) of them relate to avoiding conflict of interest and refraining from taking advantage of his position for his own personal interest. Clause 2.2 provides:

"CORPORATE VALUES AND CULTURE

2.2. As an employee in the PETRONAS group, you have a duty to serve PETRONAS with good faith, fidelity, diligence and integrity. You are required to act in the best interests of PETRONAS and to refrain from engaging in conduct or activities which may adversely affect the best interests of PETRONAS. You are at all times required to:

- *conscientiously maintain the highest degree of integrity,*
- *always exercise proper care and judgment,*
- *avoid conflicts of interest, and*
- *refrain from taking advantage of your position or exercising your authority to further your own personal interest at the expense of PETRONAS.*

You may not conduct yourself in a manner that might undermine or that is likely to destroy or seriously damage PETRONAS' confidence and trust in you. These duties are without limitation on duties imposed on you by law."

[62] Whereas clause 1.1 of CoBE regarding avoidance of conflict of interest provides:

"1. DUTY REGARDING AVOIDANCE OF CONFLICT OF INTEREST

1.1. A conflict of interest arises in any situation in which an individual is in a position to take advantage of his or her role in PETRONAS for his or her personal benefit, including the benefit of his or her family and friends. A conflict of interest can make it difficult for an individual to fulfil his or her duties impartially and correctly. A conflict of interest can exist even if it results in no unethical or improper acts. Even the appearance of improper influence in your decision-making may be an issue. A conflict of interest will undermine the values of good faith, fidelity, diligence and integrity in the performance of your duties and obligations as expected by PETRONAS. You must therefore avoid conflicts of interest between your personal dealings and your duties and responsibilities in the conduct of

PETRONAS' business. In particular, the use of PETRONAS office position, confidential information, assets and other PETRONAS resources for personal gain, or for the advantage of others with whom you are associated, is prohibited.

[63] The duty of the claimant to inform the company of any conflict of interest that may arise is provided by clause 1.3 of CoBE as follows:

> "1. DUTY REGARDING AVOIDANCE OF CONFLICT OF INTEREST
>
> 1.3 In certain instances, a conflict of interest that has been fully disclosed to PETRONAS may be tolerated by PETRONAS (for example, because measures are taken to ensure that it poses no risk to PETRONAS). Any conflict situations should be cleared by your Human Resource Department (or, in case of directors, with the relevant company secretary). A failure to disclose fully the nature and scope of the conflict of interest may result in disciplinary action against you."

[64] Regarding receiving entertainment, it is stated in CoBE as follows:

> "6. SOLICITATION, BRIBERY AND CORRUPTION

6.5 Even the appearance of conduct prohibited by this Section 6, or any other measure that is unethical or that will tarnish PETRONAS' reputation for honesty and integrity, must be avoided. If you are unsure whether an action is permitted, seek guidance before acting."

[65] Clause 10 of CoBE provides:

"10. Receiving Gifts and Entertainment

10.1 You are required to comply with the policies and procedures of your Human Resource Department relating to the receipt of gifts and entertainment.

10.2 In no event, however, may you or any of your family/household members accept gifts or entertainment in exchange for an exercise or non-exercise of your PETRONAS authority or otherwise to the detriment of PETRONAS."

[66] Meanwhile, section 2B(ii) of ABC Manual provides:

"2B(ii): Receiving Entertainment

PETRONAS recognises that occasional acceptance of a reasonable and modest level of entertainment provided by

third parties in the normal course of business is a legitimate way to network and build good business relationships.

However, it is important for employees and directors to exercise proper care and judgment before accepting entertainment offered or provided by a third party. This is not only to safeguard the Company's reputation, but also to protect employees and directors from allegations of impropriety or undue influence.

You are required to comply with the policies and procedures of your Human Resources Department in relation to receiving entertainment from third parties.

As set forth in Part IIB paragraph 10.2 of CoBE, in no event, however, may you or any of your family/household members accept entertainment in exchange for an exercise of non-exercise of your PETRONAS authority or otherwise to the detriment of PETRONAS."

Charge 1

[67] For this charge, the allegation of misconduct is that the claimant had received the total amount of RM260,000.00 from Deleum Primera Sdn Bhd (DPSB), a Petronas's registered contractor. DPSB as Petronas' registered contractor can also be seen at pages 37-185 of COB4.

[68] To establish this charge, the company relied on the evidence which is in the possession of DPSB's staff's laptop.

[69] The investigation that led to this charge showed that the sum of RM260,000.00 is recorded in spreadsheets belonging to DPSB. This evidence can be seen on page 66 of COB3 stated as "Johny-trip to KL family 12-16Jan:RM10K", on page 71 of COB3 as "Jony Baram G 50,000" and on page 80 of COB3 as "Johny-Temana: RM200K"

[70] According to the evidence from COW1, who was at that material time holding the position of Manager (Special Review), whose duty was to manage investigations and carry out special review work as instructed by the company.

[71] COW1 narrated to the court, in September 2020, during a meeting with the President, Group CEO and company's Chief Integrity Officer, where in that meeting it was highlighted that PricewaterhouseCoopers (PwC) found a tender plan belonging to PETRONAS Carigali Sdn Bhd (PCSB) and several spreadsheets containing records of payout to PETRONAS staff. The discovery was made by PwC during their forensic investigation work at DPSB.

[72] Due to seriousness of the issue, an investigation taskforce was formed to establish facts relating to the documents retrieved through PwC's forensic investigation work. The company also according to COW1 had engaged PwC to assist on investigation work as part of ensuring information pertaining to DPSB could be verified. In order to verify the veracity of the documents and information by PwC, the company

looked through the documents received and validated the information and documentation against its internal data.

[73] The duty of COW1 in the taskforce was predominantly validating documents and information found by PwC in the possession of DPSB.

[74] Based on the evidence, PCSB and DPSB entered two contracts, collectively referred to by COW1 as “the Sponge Jet Contract”.

[75] The validation was done by looking through the spreadsheets and other documents surrendered by PwC and extracting all the names given by PwC alleged to be the PETRONAS personnel. The taskforce also requested documentation for the Sponge Jet Contract to validate the alleged contract as per PwC’s finding. Upon checking with the PETRONAS internal data, it was confirmed that the claimant was one of the PETRONAS’s employees stated in the spreadsheets.

[76] COW2 in her evidence told the court that to determine the accuracy of the spreadsheets, the DI referred to:

a. spreadsheet line item i.e. PO to SS (with 8%) at RM409, 415.04 as can seen on page 39 of COB3.

b. DPSB purchase order No. 6002707 to Synergy Spectacular Sdn. Bhd. on page 267 of COB3 showing the amount shown in the spreadsheet at RM409, 415. 04.

c. spreadsheets containing names of PETRONAS acronyms such as KAKG, TEPB etc, for example at pages 39 to 42 and 71 of COB3.

d. confirmation by the company's witness during the DI by the name of Jason that the spreadsheet line item i.e. Work Order No. 32 for work on KAKGA HP and LP Flare Tim Maintenance and Repair at Main Deck at pages 39 to 42 of COB3 was the same Work Order No. 32 raised and paid by PCSB as can be seen at pages 80 to 81 of COB3

Allegations of receiving RM50,000.00 and RM200,000.00

[77] Regarding the allegation of receiving RM50,000.00, the court finds that the company has successfully proved the charge. There is sufficient evidence to link the claimant with receiving the amounts of RM50,000.00 and RM200,000.00. From the evidence, there is no other employee by the named Johnny working in Miri with the company. Further, the document also showed the spouse of the claimant as Kong Siew Ling, who forms part of charges 2, 3 and 4. This can be seen on pages 242-242 of COB4 i.e. the Staff & Family Details.

[78] Furthermore, as admitted by the claimant during the cross examination, he agreed when Mazrin referred to 'Johnny', based in Miri and is the head of construction – as shown on page 153 of COB4 – he was referring to him.

[79] The court would like to refer to the evidence of COW2 to show that reference to Johnny in the spreadsheets referred to the claimant:

> (b) To ensure that the name "Johnny" stated in the spreadsheet referred to the Claimant, the domestic inquiry panel referred to:
>
> (i) Mazrin's interview transcript at page 153, Lines 8 &10 of Company's Bundle of Document (Volume 3), which he confirmed that that "Johny" in the spreadsheet was based in Miri, which indicated this referred to the Claimant. Mazrin Bin Ramli was the Chief Executive Officer of DPSB ("Mazrin")
>
> (ii) Confirmation by the Company's witness during domestic inquiry (Jason) that that the name "Johny" found in the spreadsheet referred to the Claimant after internal verification [page 80, line 20 of Company's Bundle of Document (Volume 2)].
>
> (iii) Emails at pages 23 to 25, 28 & 29 of Company's Bundle of Document (Volume 4)] showing the names of the Claimant. These are emails found by PwC from DPSB's laptop.

(iv) Confirmation by the Claimant himself that he was involved in the Sponge Jet Contract as end user [page 113 of Company's Bundle of Document (Volume 2)].

[80] Further, the claimant during the DI never challenged Alex Tan that 'Johny' referred to by Mazrin in his interview transcript tendered during the DI is not him. It is the considered view of the court that the conduct of the claimant bearing something towards the case during the DI, which does not require the DI to investigate further who is the actual person 'Johny'.

[81] Based on the evidence, the DI has taken into consideration the claimant received the payments through Mazrin or through Azreen who will then be paid through Synergy Spectacular Sdn. Bhd. This finding can be seen in the evidence of COW2 when she found such evidence from Mazrin's interview transcript.

[82] Based on the available evidence, there was sufficient evidence for the company to reasonably imply that "Johny" as stated in the spreadsheets referred to the claimant.

[83] Learned counsel for the claimant submitted that the company should have produced the employment and placement record to show he was posted to Baram-G and Temana site.

[84] However, the court finds sufficient evidence has been produced to show that the name in the spreadsheet referred to the that without

employment and placement record as allegedly required by the counsel is not going to affect the quality of evidence produced to link the claimant to the spreadsheets.

Allegation of receiving RM10,000.00

[85] The court also finds that the allegation of accepting RM10,000.00 as stated "Johny trip to KL family 12-16 Jan: RM10K" in the spreadsheet has been successfully proved by the company.

[86] In our case, the claimant during the DI has clearly admitted that he was in KL from 12.01.2016 to 16.01.2016. This was taken into consideration by the DI when they arrived at their decision. COW2 in her evidence told the court that there was high probability that the claimant received the amount of RM10,000.00 when she said:

> "(ii) Confirmation by the Claimant that he was in KL between 12 January 2017 until 16 January 2017 [page 140, lines 35 to 45 of Company's Bundle of Document (Volume 2] which matched with the spreadsheet item related to "Johny Trip to KL family 12 – 16 Jan: RM10K" at page 58, item 6 of Company's Bundle of Document (Volume 3])

[87] During the trial in court, the claimant when he was under cross-examination agreed that there was a trip to KL from 12.01.2016 to 16.01.2016.

Q. Refer to the Domestic Inquiry Minutes as COB-2, page 140, lines 35 to 40. Please read out what you stated here during the DI.
So you confirm you were at KL on a family trip between 12 – 16 January 2017 as per what's stated in the spreadsheet and in Charge 1, agree?

A. Yes, that is my own trip.

[88] Furthermore, there is other evidence to link the claimant with the receiving of RM10,000.00 when there is an email dated 19.11.2016, adduced by the claimant, which contains a confirmation receipt for booking at Cititel, Mid Valley in Kuala Lumpur for the period between 12.01.2016 to 16.01.2016. These dates matched with the dates stated in the spreadsheet to link the offence for receiving such amount.

[89] The court finds that the dates from 12.01.2016 to 16.01.2016 corresponds with "Johny trip to KL family 12-16 Jan: RM10K", as stated in the spreadsheet. Hence, based on the available evidence, it is reasonably or highly probable that the claimant has received the amount of RM10,000.00

Charge 2

[90] For this charge, the court finds that the company has also successfully proved the misconduct.

[91] There was admission by the claimant regarding the trip to Santorini, Greece. The evidence by the claimant is as follows:

> Q: Refer to Domestic Inquiry Minutes at COB-2, page 149, lines 25 to 40.
> This is regarding your Santorini trip.
> You called it a family trip and you went with your wife, Mohd Azreen and his wife, correct?
>
> A: Yes
>
> Q: You also stated here that Mazrin, his wife and his kids went on the Santorini trip too, agree?
>
> A: Yes

[92] The claimant also agreed in his evidence when he was cross examined that the trip began on 07.03.2018 from Miri, as shown on page 3 of COB4, and ended on 18.03.2018, as shown on page 7 of COB4.

[93] The claimant was also asked during the cross-examination when he was shown the flight tickets on pages 3 to 11 of COB4, which contained his name and his wife's name, Kong Siew Ling.

[94] The claimant also admitted during the cross-examination that Mazrin paid for his flight tickets. This is his evidence:

Q: Refer to Domestic Inquiry Minutes at COB-2, page 139, lines 25-60 [read out for emphasis]

You stated during the DI that Mazrin paid for your flight tickets and that you gave him your passport details for him to arrange for your flight tickets, agree?

A: Yes. I fully refunded him later.

[95] During the DI the claimant clearly admitted that Mazrin paid for the tickets when he was asked at page 139 of COB2:

Assistant Presenting Officer 1:

Question to you, who did who paid for your flight tickets for this trip?

Accused Employee:

What I know is from Mazrin. Because he said he help me to he help to arrange. So from him lah I didn't know him.

Assistant Presenting Officer 1:

So he paid so he paid your flight ticket?

Accused Employee:

It should be lah if if he didn't pay then, how am I going to fly?

[96] From the above evidence and the claimant's own admission, it is the considered view of the court that the company has sufficiently proved that Mazrin paid for the flight tickets to Santorini for the claimant and his wife. The documentary evidence from the company, which is the Staff & Family Details on page 242 of COB4, shows that the wife of claimant is Kong Siew Ling.

Charge 3

[97] Regarding this charge, the company has produced a tax invoice dated 22.03.2018 issued by Mitra Tours & Travel to Mazrin for coverage of insurance for international travel in the name of the claimant and his wife.

[98] Apart from that there is evidence from the claimant to show that travel insurance was paid by Mazrin as can be seen during the cross-examination of the claimant:

Q: Refer to COB-4, page 12

This is a tax invoice issued by Mitra Tours & Travel to Mazrin Ramli of DPSB on 22 March 2018. The travel insurance here bears your name, your wife's name and your colleague Mohd Azreen's name, agree?

A: Yes

Q: Agree that the coverage period of the insurance for yourself and your wife is 7 March 2018 to 18 March 2018 which coincides with your travel dates for the Santorini trip?

A: Yes

Q: Agree that based on page 12, COB-4, you had allowed Mazrin Ramli of DPSB, a registered Petronas contractor to arrange or pay for the travel insurance of yourself and your wife?

A: Yes. I refunded him after the trip.

[99] Upon considering the available evidence, the court satisfies that the company has produced good and convincing proof to show the commission of misconduct, as per the charge.

Charge 4

[100] Regarding this charge, the court finds that there was admission by the claimant during the DI that Mazrin also went to Santorini. He told the court when learned counsel for the company referred him to the notes of proceeding in the DI, page 149 of COB2, that he went to Santorini with his wife, Mohd Azreen and his wife. He was also asked regarding page 149, and he answered:

Q : You also stated here that Mazrin, his wife and his kids went on the Santorini trip too, agree?

A : Yes

[101] During the examination in chief the claimant admitted that he crossed path with Mazrin but he did not stay with Mazrin or share any room with him. The claimant said that he stayed at a location called Porto Fira Suites (Porto Fira) which is in the centre of Santorini and to his knowledge Mazrin also stayed at the same hotel.

[102] The claimant also during the DI admitted that he and Mazrin stayed at Porto Fira and they stayed not in the same apartment but separated (see page 136 of COB2, paras 5-6).

[103] The abovementioned evidence showed that the claimant did meet Mazrin and stayed together at the same hotel. This can reasonably be indicated or implied that they went to Santorini together.

[104] The claimant later attempted by denying they stayed together at the same hotel during the cross-examination when he was referred to lines 5-55, on page 136-137 of COB2.

[105] It is trite law that if a person demonstrably tells lies on one or two points then he is not a reliable witness, and the rest of his evidence must be scrutinised with great care and suspicion (see *Selva Rani a/p Sinnathamby v Concorde Hotel Kuala Lumpur* [2015] 2 ILJ 491). The High Court in the case of Mohamed Bin Kasdi [1968] CLJU 78; [1969]

1 MLJ 135 referred to by *Selva Rani, supra,* laid down a principle of law that when a witness gives or makes two statements which differ in material particulars there must necessarily be ground for believing that he is not a truthful witness.

[106] In our case, the claimant has narrated two material particulars which differ to each other with respect to his trip with Mazrin to Santorini. It is the considered view of the court that such a difference goes to the root of the claimant's case, and which affected his credibility. By shifting to another narrative, the claimant obviously tried to tell lies in court.

[107] The claimant has lied to this material issue. Therefore, his evidence that he did not stay at Porto Fira should be discarded and must not be believed. There was an act of an afterthought on the part of the claimant to deny what he already says during the DI.

[108] The fact that the claimant and Mazrin met and stayed at the same hotel raised reasonable probability that they were travelling together. Upon taking into consideration that all the expenses were paid by Mazrin, there cannot be any coincidence that they merely bumped into each at the same hotel in Santorini, let alone at the same destination i.e. Santorini.

[109] Therefore, the court finds that the company has proved that the dismissal was made with just cause or excuse. Based on the evidence, it is the considered view of the court that any reasonable employer

would have found that the claimant has committed the acts of misconduct levelled against him.

Defence

[110] The claimant in his defence told the court that upon coming back to Malaysia, he had paid the expenses occurred for the trip to Santorini including hotel, flite tickets and travel insurance around RM34, 604.00 and he paid Mazrin RM35,000.00.

[111] Be that as it may, even if the claimant was true that he paid all the expenses when he came home, that would not be a good defence. In this case, he was not supposed to ask Mazrin to make any payment for the trip, knowing very well that DPSB was the registered contractor of the company.

[112] In fact, the claimant was aware that when he travels with the company's contractor, he must make a declaration to the company. This is his evidence during the cross-examination:

> Q: When you travel with the Company's contractor, you must make a declaration so that the Company can assess whether there is a conflict of interest and whether to clear it or prohibit it.
>
> A: If I travel with contractor, yes.

[113] As a senior managerial employee, the claimant knew that he had to comply with CoBE and ABC Manual and report to the company anything that will compromise his duty, which is not to cause conflict of interest between him and the company.

[114] The claimant's admission that he knows his duty to report any conflict of interest that may arise from his conduct by allowing Mazrin to pay for his expenses before going for Santorini's trip showed his blatant refusal to follow the rules and regulations formulated by the company to discipline its employees.

[115] In this case, regardless of whether DPSB will receive any benefit from the claimant's position is irrelevant. What is important is the duty of the claimant is not to act or conduct in a manner that will create conflict of interest and not to accept any gratification which clearly the serious misconduct under the CoBE and ABC Manual. It bears considerable question in mind of the court, why DBSB should give the claimant RM260,000.00 and pay the trip to Santorini, if not because of his position in the company.

[116] Therefore, it is the considered view of the court that the defence mounted by the claimant cannot stand.

<u>One transaction rule</u>

[117] Learned counsel for the claimant attempted to impress the court by submitting that the charge filed during the DI should also be subjected

to the principle of “one transaction rule” as per the criminal trial. This is what the submission by the counsel:

> “The Company’s charges 2 to 4 falls directly under the “one transaction rule” and should be treated as one single on-going charge. Instead, the Company was found guilty of and punished for the same offence 3 times. This is tantamount to unnatural punishment which is manifestly unjust and not in line with proper operating system or management system.”

[118] With due respect, the court finds that submission by the learned counsel is without merit. It must be remembered that drafting or preparing a charge under industrial jurisprudence is different from any charge under criminal law. The court wishes to refer to the case of *Amran Mahmud, supra,* where the court held:

> “[77] The position of law with respect to the filing of charge for misconduct is as decided by the case of Shahrin Abdul Mutalib v. Worldwide Fund For Nature Malaysia [2019] ILRU 2233; [2019] 2 LNS 2233 (Award No. 2233 of 2019), whereby, the court held that in the context of employee misconduct, the framing of charge is not like in criminal matters or quasi criminal. The court further held what matters is that the accusation made against the employee must be unambiguous and comprehensible and which will not cause material prejudice to the employee for being unable to put forward his defence.”

[119] It is the opinion of the court that the charges against the claimant were clear and unambiguous. There is no issue of material prejudice against the claimant which has inhibited him from adducing his defence.

[120] In the context of employee misconduct, the drafting of the charge should be left with the employer, and the court should not disturb how the charges were drafted, let alone apply criminal application in drafting a charge. In industrial jurisprudence, the law only recognises the charge is bad or defective only if the charge was unclear, ambiguous and has caused material prejudice to the claimant which deprived him of the right to properly put forward his defence. And, in our case, none of this has happened to the claimant.

Punishment

[121] The correct test to be applied in deciding this issue is *"whether any reasonable employer, based on the established facts, in that line of business, would have dismissed the Claimant, even though some other employers may not have dismissed him?".* This test has been enunciated by NH Chan JCA in the case of *Tan Tek Seng @ Tan Chee Meng v Suruhanjaya Perkhidmatan Pendidikan & Anor* [1996] 2 CLJ 771; [1996] 2 AMR 1617, where His Lordship has referred to the English cases of *NC Watling & Co Ltd v Richardson* [1978] ICR 1049 and *British Leyland UK Ltd. v. Swift* [1981] IRLR 91.

[122] The test was adopted by another Court of Appeal's case in *Subramanyah AJ Karuppiah v. Bank Negara Malaysia,* [2011] 2 CLJ 178, which held:

> ***"[46]*** *The court is satisfied that the BNM's decision to dismiss the appellant on all the five charges of misconducts against him was a reasonable decision in view of the circumstances of the case. His misconducts are serious in nature. Being the employer, BNM is in the best position to determine the seriousness of the appellant's misconducts. In this respect the court is in full agreement with NH Chan JCA (dissenting) in the case of Tan Teck Seng v. Suruhanjaya Perkhidmatan Pendidikan & Anor [1996] 2 CLJ 771, when he said:*
>
> > *... The correct test is: Was it reasonable for the employers to dismiss him? If no reasonable employer would have dismissed him, then the dismissal was unfair. But if a reasonable employer might reasonably have dismissed him, then the dismissal was fair. It must be remembered that in all these cases there is a band of reasonableness, within which one employer might reasonably take one view; another quite reasonably take a different view. One would quite reasonably dismiss the man. The other would quite reasonably keep him on.*

Both views may be quite reasonable. If it was quite reasonable to dismiss him, then the dismissal must be upheld as fair: even though some other employers may not have dismissed him.

[47] *In the present case, the court is satisfied that it was reasonable for BNM to have taken the view that dismissal was the appropriate punishment. The 'offences' or misconducts for which the appellant had committed were serious and grave in any establishment and that it was quite reasonable for BNM as the employer, to dismiss him."*

[123] In allowing the finding of the company to dismiss the claimant, the court finds that the claimant has committed serious misconduct with all the charges. It is important to observe the company through the evidence of COW3 adopts a zero-tolerance policy against all forms of bribery and corruption. Further, the company also adopts core values of Loyalty, Integrity, Professionalism and Cohesiveness and hence has zero tolerance on any breaches committed by the claimant which cannot be tolerated.

[124] Serious misconduct is where an employee's act or behaviour is so severe that it fundamentally breaches the employment agreement and the trust and confidence required to continue the employment relationship. It is without doubt that the act of receiving gratification and gifts or entertainment is serious misconduct and not trifling in

nature. COW3 in his evidence told the court that the serious acts of misconduct committed by the claimant involving integrity and breach of fiduciary duty that would tantamount to dismissal as the claimant who was holding a senior position was expected to maintain a higher standard of care and professionalism in ensuring that his conduct was consistent with the requirement of CoBE and ABC Manual.

[125] Regarding the relationship between employer and employee, honesty and integrity are virtues that cannot be compromised in an employee no matter what position he holds in an organisation (see *Zulkifli Abdul Latif v. Sistem Penerbangan Malaysia Berhad* [2006] 3 ILR 1923).

[126] The court finds that the position held by the claimant and the length of his employment demanded him to uphold the values and cores held by the company to ensure the company's reputation and character as a renowned national oil company in Malaysia be highly preserved, not only internally but also internationally.

[127] Hence, it is the considered view of the court that any reasonable employer in the position of the company would have been taken the same position by the company in dismissing the claimant.

Conclusion

[128] In conclusion, the court, having taken into account the totality of the evidence adduced by both parties as well as their submissions and

bearing in mind s. 30(5) of the Industrial Relations Act 1967, to act according to equity and good conscience and the substantial merits of the case without regard to technicalities and legal form, finds that the company has discharged its legal and evidential burden of proving on a balance of probabilities to dismiss the claimant with just cause or excuse.

[129] Therefore, the claimant's claim is dismissed.

HANDED DOWN AND DATED THIS 15th OF DECEMBER 2025

Signed

(MOHD TAUFIK BIN MOHD@MOHD YUSOFF)
CHAIRMAN
INDUSTRIAL COURT MALAYSIA
SARAWAK